

OPPORTUNITY REVIEW

DIRECT-TO- EMPLOYER GTM STRATEGY

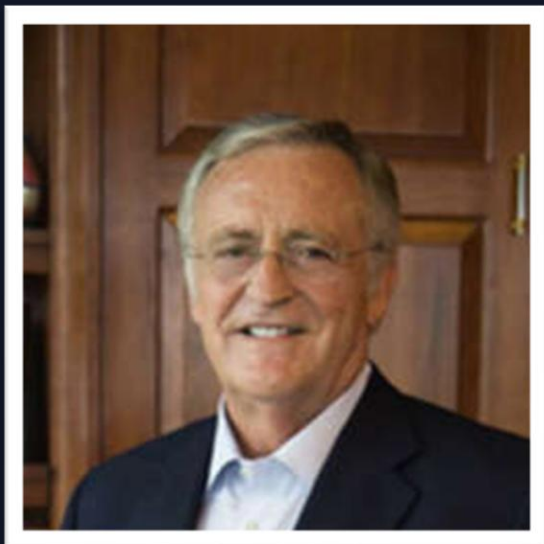
Exploring a NGHS DTE Health Plan





KEY BENEFIT ADMINISTRATORS

- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees



Our Founding and Heritage:

46 Years of Striving for Honesty in Healthcare

Founded Key Benefit Administrators in 1979

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA in 1979 as a third-party benefits administrator focused on honest healthcare delivery.

Sold to Blue Cross/Blue Shield in 1985

Strategic partnership with BCBS of Indiana (then part of the Associated Group) provided capital and market access while maintaining operational independence.

Reacquired KBA in 1992

Larry bought the business back from BCBS in 1992, returning it to complete independence and patient-focused mission alignment.

Built the Largest Independent TPA in the U.S.

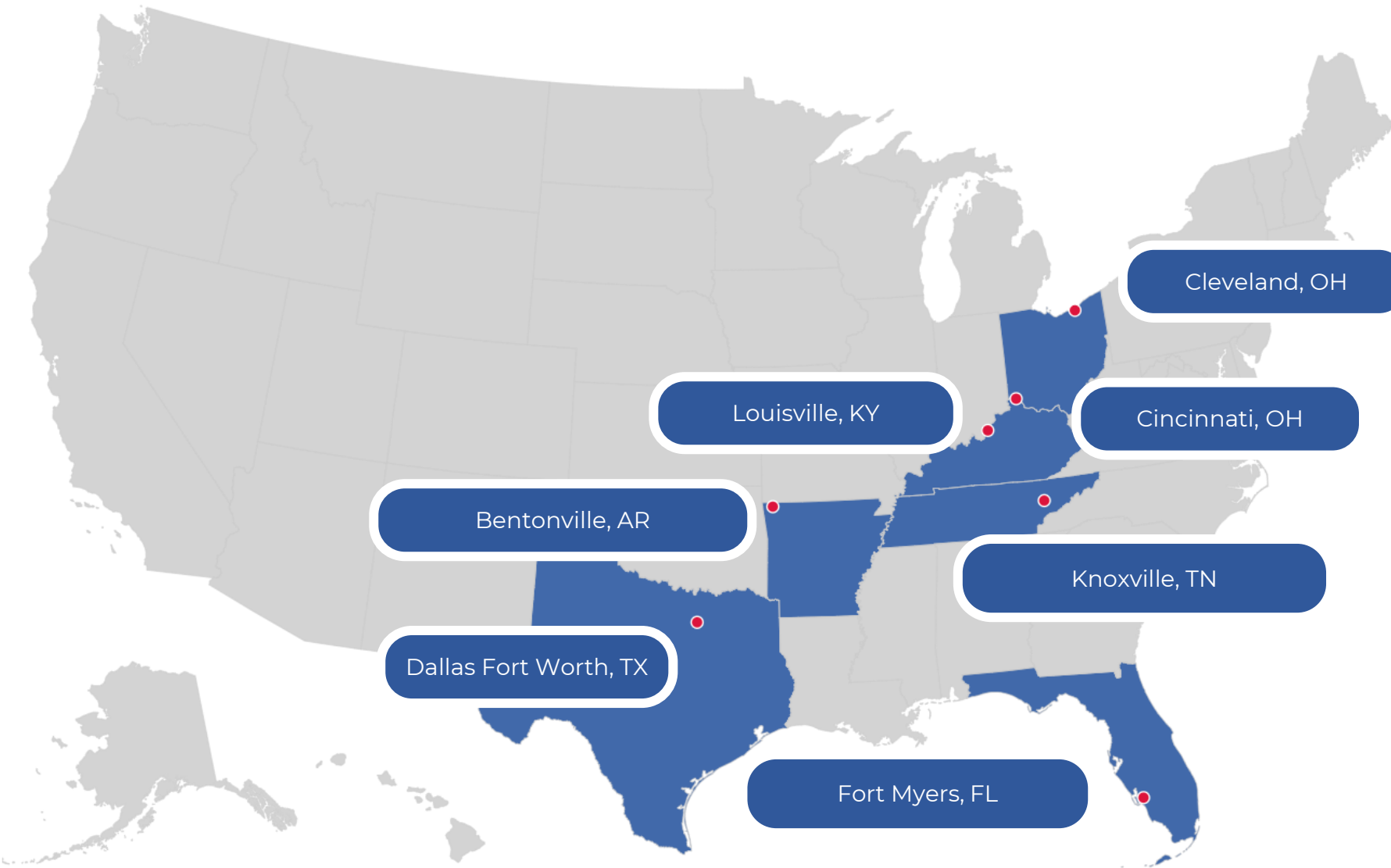
Under his leadership since the buyback, KBA has become the country's largest independently owned third-party administrator, managing millions of members across diverse markets.

Never Forgotten Who Gives Healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

Key Benefit Administrators

MARKET LEADER IN PRIVATE LABELED DTE PLANS

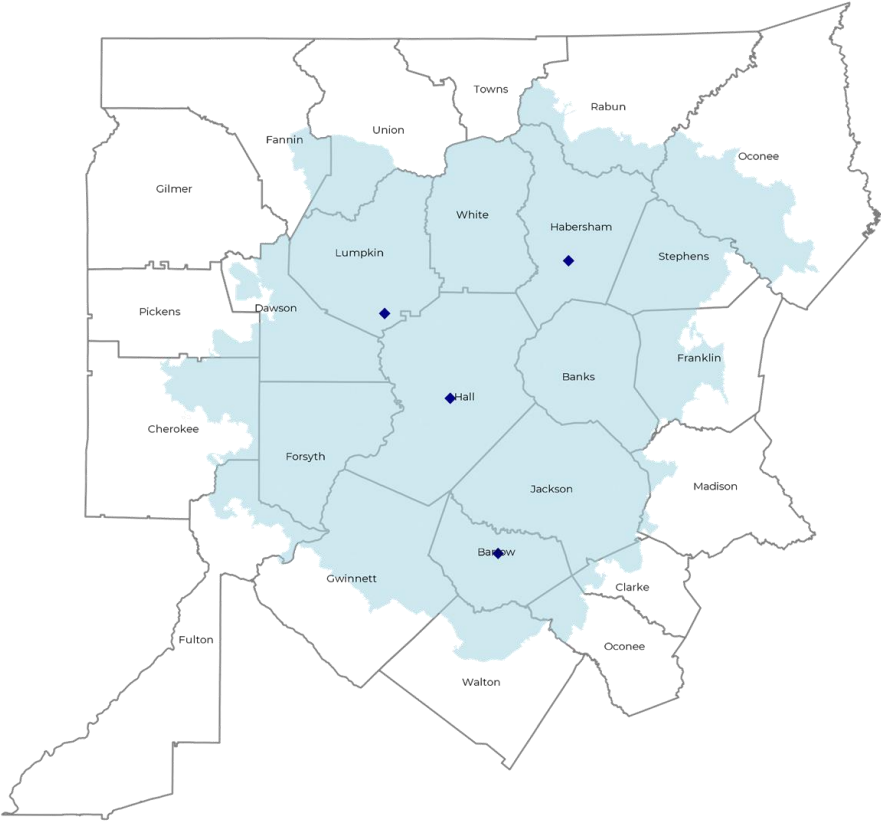


SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

Researched for the below highlighted service area

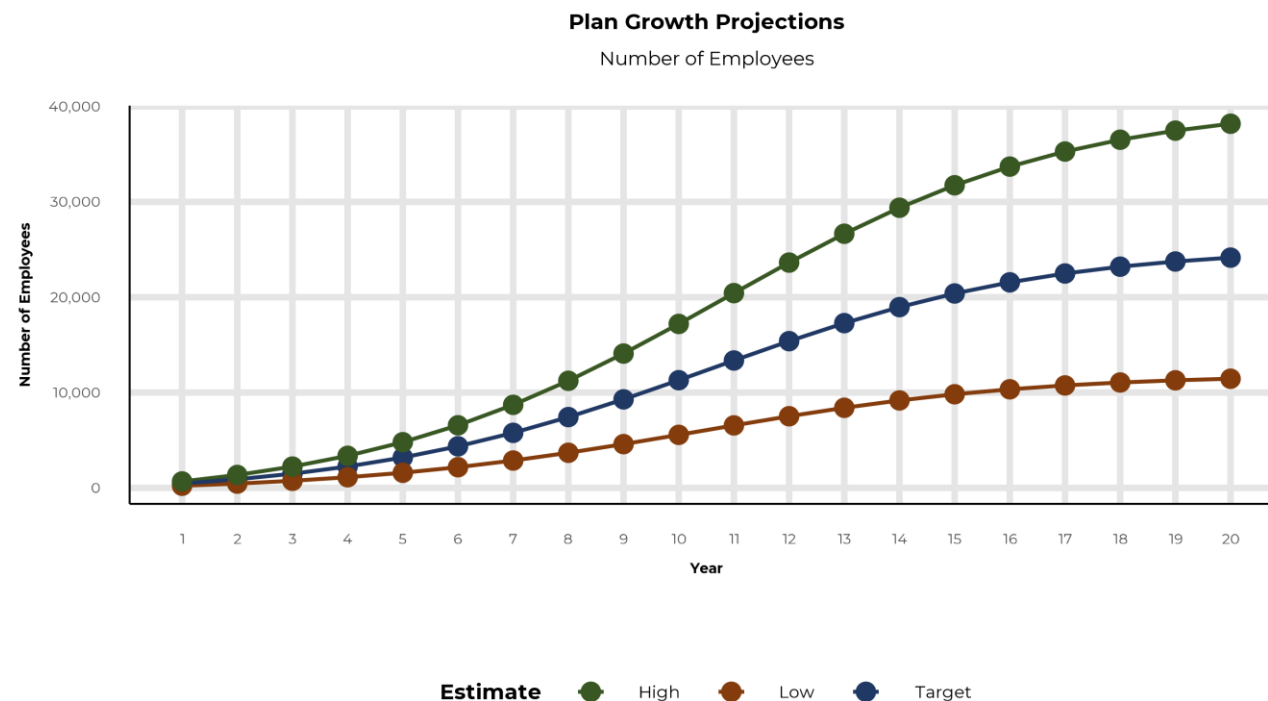
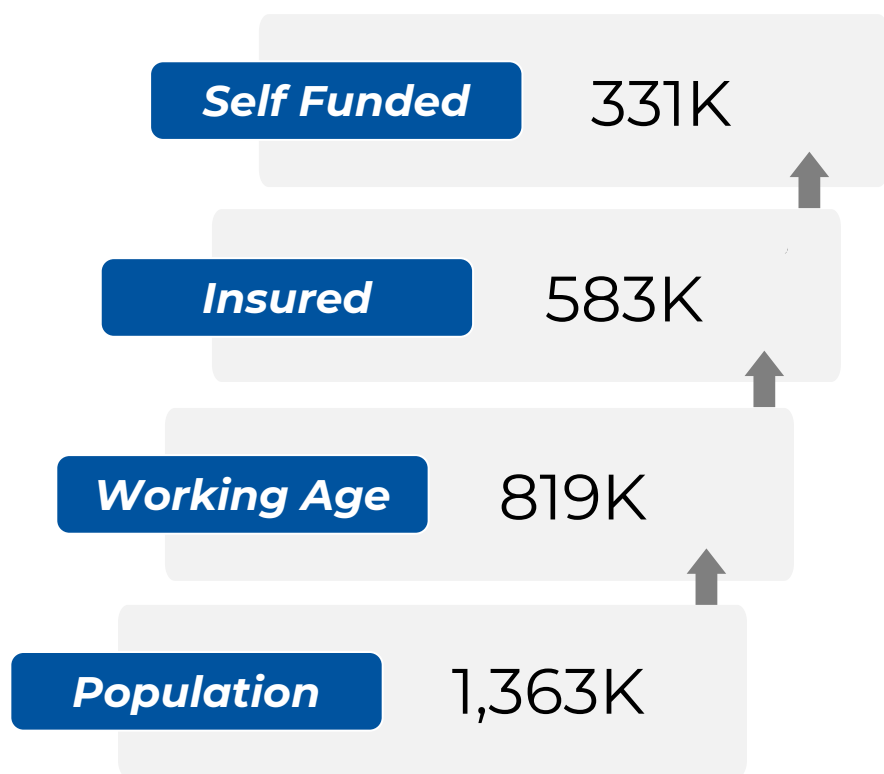
Target Market

900+ Employers ➤ 120,000+ Employees ➤ 190,000+ Members



	Employer Size Group (# of Employees)					
Commercial Employers With Headquarters In Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	939	407	258	136	57	27
Total Employees at Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	70,400	61,100	77,400	95,200	114,000	162,000
Total Members with Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	126,700	110,000	139,300	171,400	205,200	291,600

PLAN POTENTIAL GROWTH PATHS



Estimates includes the Northeast Georgia Health System service area in Banks, Barrow, Cherokee, Clarke, Dawson, Forsyth, Franklin, Fulton, Gwinnett, Habersham, Hall, Jackson, Lumpkin, Oconee, Rabun, Stephens, Union, Walton, and White Counties

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue: **\$9.53M**
New Profit: **\$3.35M**

Growth Stage

Strong Reputation, Strong Growth

New Revenue: **\$57.23M**
New Profit: **\$21.16M**

Mature Stage

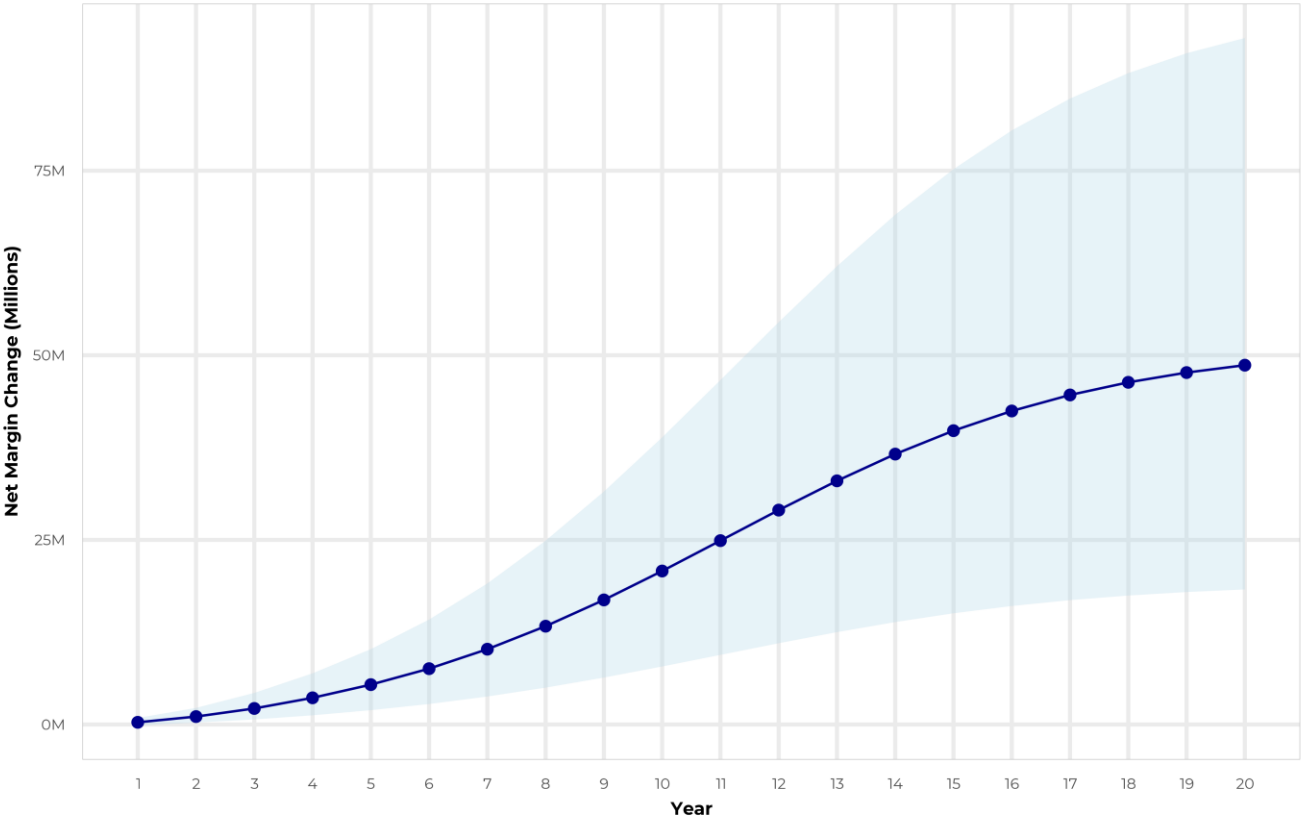
High Profitability, Market Saturation

New Revenue: **\$117.89M**
New Profit: **\$43.73M**

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 36.8%

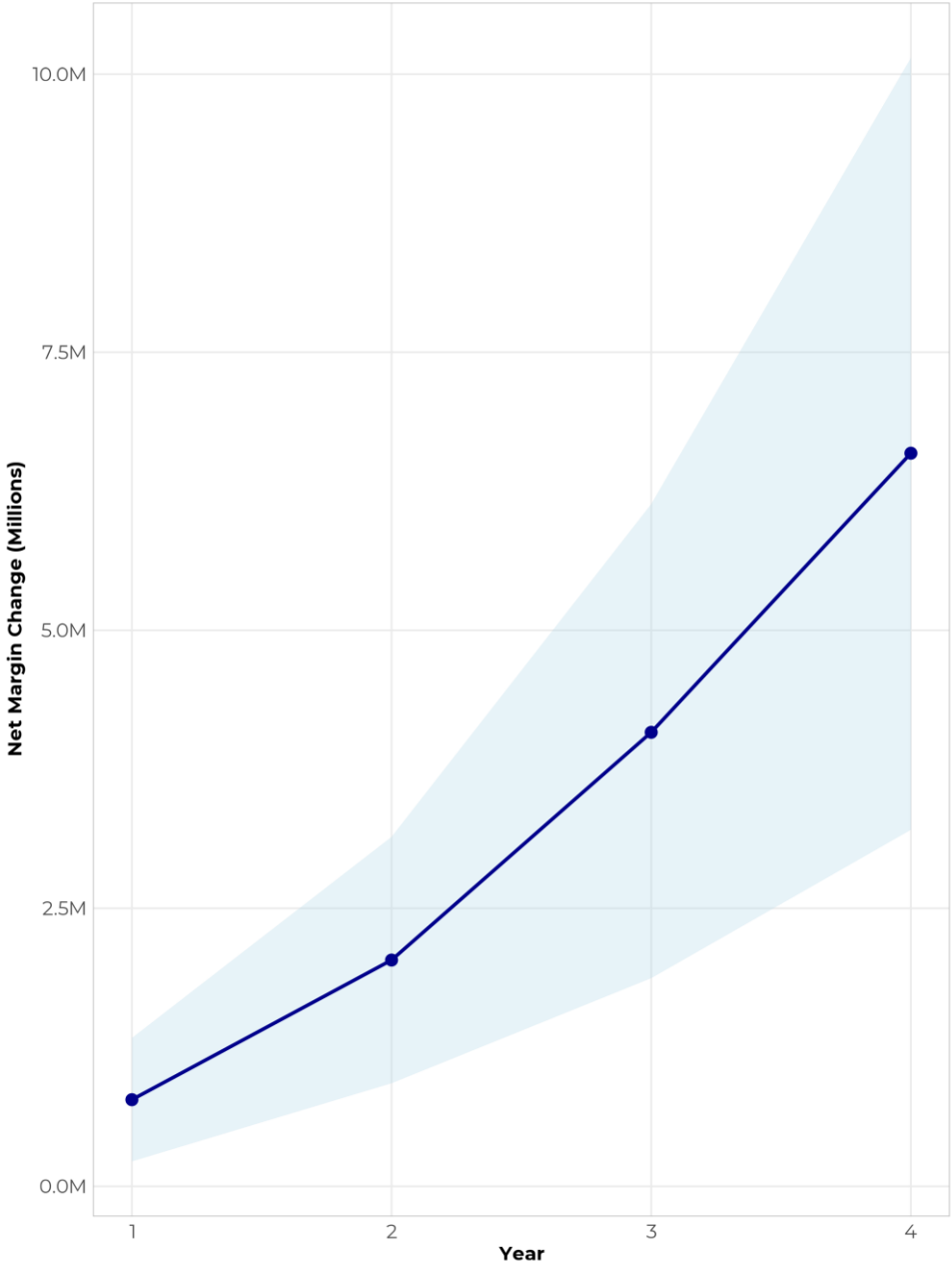


FOUR-YEAR PROJECTIONS

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 36.8%



Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	800	1,600	2,700	4,000
Incremental Margin	1,099.6K	2,195.4K	4,230.1K	6,724.1K
Network Access Fee	9.6K	19.2K	32.4K	48.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	779.2K	2,034.6K	4,082.5K	6,592.1K

High Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	1,200	2,400	4,000	6,100
Incremental Margin	1,649.4K	3,293.2K	6,266.9K	10,254.3K
Network Access Fee	14.4K	28.8K	48.0K	73.2K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	1,333.8K	3,142.0K	6,134.9K	10,147.5K

Low Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	400	800	1,300	2,000
Incremental Margin	549.8K	1,097.7K	2,036.7K	3,362.1K
Network Access Fee	4.8K	9.6K	15.6K	24.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	224.6K	927.3K	1,872.3K	3,206.1K

COMPLETE MARKETING SYSTEM

- Customized Branding and Messaging
- Customized Brochures
- Customized Web Site
- Targeted Employer Outreach
- Sales System (Social Media, Email, Text, etc.)



PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing NGHS for Inpatient Care	Percent of Members Choosing NGHS for Outpatient Care
1	500	900	60%	50%
2	900	1,600	60%	50%
3	1,500	2,700	65%	55%
4	2,200	4,000	67%	58%
5	3,200	5,800	68%	60%
6	4,400	7,900	68%	60%
7	5,800	10,400	69%	61%
8	7,400	13,300	69%	62%
9	9,300	16,700	69%	62%
10	11,300	20,300	70%	63%
11	13,400	24,100	70%	63%
12	15,400	27,700	70%	64%
13	17,300	31,100	71%	64%
14	19,000	34,200	71%	65%
15	20,400	36,700	71%	66%
16	21,600	38,900	72%	66%
17	22,500	40,500	72%	66%
18	23,200	41,800	72%	67%
19	23,700	42,700	72%	67%
20	24,100	43,400	72%	67%

KBA currently estimates that Northeast Georgia Health System has 30% inpatient market share, and 14% outpatient market compared to hospitals/clinics in the Northeast Georgia Health System service area (see slide 8).

Based on previous DTE experience, KBA expects a significant bump in patient steerage to Northeast Georgia Health System.

Additional steerage will occur from additional steerage patient benefits and the patient convenience card.

High estimates start nearly 10% higher than target with low estimates at 10% lower than target

A PARTNER YOU CAN TRUST



**OUR OBJECTIVES
ARE ALIGNED**



**WE KNOW THE
MARKET**



**COMPLETELY
TRANSPARENT**



**WE HAVE THE
SOPHISTICATION
AND
INFRASTRUCTURE
TO EFFECTIVELY
COMPETE**



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